

INVESTOR BRIEFING

Datre Corporation Limited

Engineering Essence, Manufacturing Personified

USP, Financial Performance & Critical Analysis

EST.

1996

PLANT

Falta, West Bengal

CERTIFICATION

ISO 9001:2015 · RDSO Class 'A' · ZED Gold

EXECUTIVE SUMMARY

A paradigm Datre built deliberately — now running harder on an aging plant

₹25.9 Cr

FY25-26 revenue

Record year, +26% YoY — also a record ₹1.82 Cr profit

2.9x

Revenue growth on the same plant

FY21 trough to FY25-26, no expansion

₹4.4 Cr

Net worth recovered since FY22

-₹5.94 Cr → -₹1.54 Cr (FY25)

~80%

Revenue from 2 customers

Tega + Escorts — key risk



The Investment Case

- A paradigm built deliberately, not inherited: repositioned from commodity foundry to engineering company, then protected the one thing that couldn't be commoditized — heat-treatment know-how.
- The moat now runs on operations: utilization has climbed from ~55% (2018) to ~81% (Aug 2025) on the same 1990s-era plant — revenue has more than tripled without a new factory.
- Tier-1 OEM integration (Tega, Escorts, Komatsu-qualified) at industry-leading contribution per kg on select parts.



What Investors Should Probe

- Net worth is still negative (-₹1.54 Cr, FY25) and the most recent quarter (Q1 FY26-27) shows sales down 42% YoY.
- Rejection/scrap rate has climbed for four straight periods, reaching 10.1% — the operational skill behind the moat hasn't visibly fixed this yet.
- Two customers drive ~80% of contribution; recurring auditor qualification remains open.

COMPANY SNAPSHOT

A niche engineering foundry, not a commodity caster

FOUNDED

1996 · Falta Industrial Growth Centre, South 24 Parganas, West Bengal

CERTIFICATIONS

ISO 9001:2015 (DNV GL) · Indian Railways RDSO Class 'A' foundry · ZED Gold

WORKFORCE

~100+ employees · 140+ supply partners

BALANCE SHEET

Operationally debt-free — finance cost is nil in recent filings

STRUCTURE

100% privately held; 6.1 acres leased from WBIDC (99-yr lease from 1995)

INSTALLED CAPACITY

7,000 MT/yr (valve-era rating); current output ~1,000-1,300 MT/yr

CUSTOMER BASE

22+ active accounts, ~90% Tier-1 OEMs / Indian MNCs

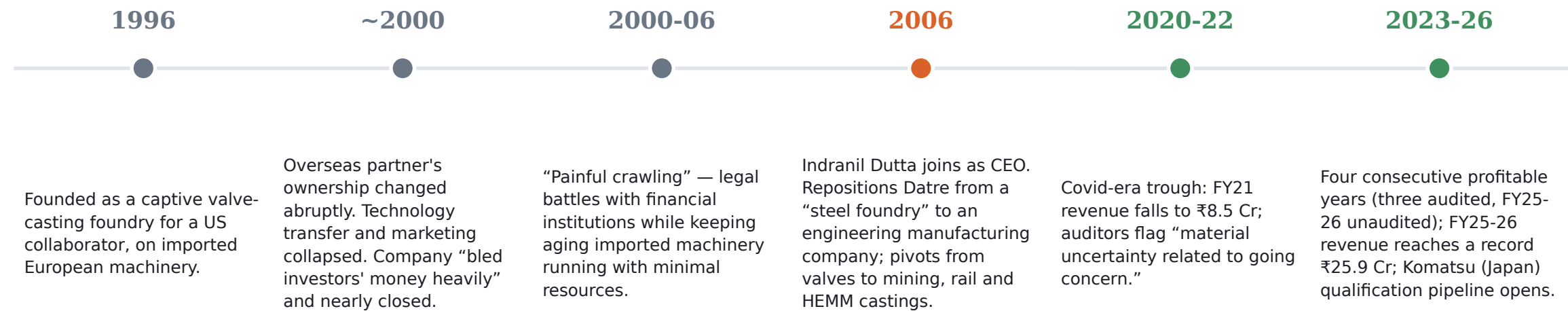
LOGISTICS

65 km to Kolkata Airport · 19 km to Diamond Harbour rail · Haldia/Kolkata ports ~46-48 km

LEADERSHIP

Indranil Dutta, CEO (33 yrs; BE IEST Howrah, PGDBM IISWBM) · Sanjoy Banka, CFO (CA, 30+ yrs) · Sitangshu K. Saha, Director (IIT-Kharagpur metallurgy, 42 yrs) · S.N. Chaudhury, Director (IIT-Kharagpur metallurgy, 40 yrs, Railways specialist)

From near-closure to a self-authored turnaround



Why this matters for diligence

The 2006 pivot — not the 1996 founding — is the operative history. Everything distinctive about Datre's positioning (engineering-company framing, the heat-treatment IP stance, the OEM-led product mix) dates from that decision, not from the original valve-foundry design.

UNIQUE SELLING PROPOSITION

Four choices that separate Datre from a commodity foundry

1 Engineering company, not a steel foundry

Rebranded around “Engineering Essence, Manufacturing Personified” — priced as a problem-solver, not on weight and chemistry alone.

Contribution spans ₹22-88/kg by product — evidence of value pricing

2 Protected heat-treatment know-how

Most Indian foundries hand buyers the HT cycle graph, letting price be set by chemistry alone. Datre refuses to.

Basis for the Sona repricing case: ₹206→₹225/kg, cost-to-serve

3 Running an aging plant harder, not replacing it

100% in-house maintenance of 1990s-vintage imported European machinery, with no OEM support — kept it running through 2000-06 and beyond.

Utilization: ~55% (2018) → ~81% (Aug 2025) — see slide 9

4 Deep, sole-supplier OEM integration

Sole/near-exclusive casting partner to Tega (since 2005) and Escorts on safety-critical parts; Komatsu-qualified on 5 idler part numbers.

Tega: 14% → 53% → ~76% (proj.) of contribution, FY22-FY26

USP DEEP DIVE

The moat: refusing to hand over the heat-treatment cycle

THE INDUSTRY NORM

Indian foundries routinely hand buyers the heat-treatment cycle graph as part of the supply package. Once the buyer has it, price gets pinned to raw-material chemistry alone — the caster's process know-how stops mattering commercially.

DATRE'S DEPARTURE

Datre withholds its HT cycle documentation — a deliberate, contested choice that customers pushed back on. Holding that ground protects the one variable a buyer cannot commoditize: how the metallurgy is actually achieved.

Why it matters for pricing power: the Sona Comstar knuckle-casting repricing (slide 20) is the same logic in commercial practice — cost-to-serve, not raw-material chemistry, is what Datre asks customers to pay for.

HEAT-TREATMENT INFRASTRUCTURE

- Auto-controlled furnaces with water & air quenching
- Induction melting: furnaces up to 10-ton capacity
- Spectrometer — 14-element analysis
- Brinell / Rockwell / digital hardness testing
- Ultrasonic & radiography (RT) testing
- Magnetic crack detection (MPI)
- Microstructure testing, 50x-1500x

Four end markets, anchored by tier-1 OEMs

Mining & Minerals

Tega Industries (sole supplier since 2005, ~80%+ of Tega's outsourced white-iron liner need, historically); Metso wound down to zero by FY25 as part of the OEM-focus pivot

High-chrome & CrMo mill liners, hammers for crushers — ~100,000 pcs across 100+ profiles supplied to date

Railways

Escorts Railway Equipment Division

AAR-H & SCHAKU coupler castings (Main Body, Knuckle) for LHB coaches — ~1,500 Main Bodies, ~5,000 Knuckles supplied · RDSO Class 'A' qualified

HEMM & Construction

BEML · Mahindra & Mahindra · Komatsu (Himi Plant, Japan, via Uchimura)

Undercarriage & idler castings — 5 running Komatsu part numbers, 3 more under RFQ

Steel Plants

Tata Metaliks · Electrosteel Casting · Tata Steel BSL · ESL Steel · SAIL IISCO · Neo Metaliks

Pig moulds, chain links, annealing-furnace rollers/skids — legacy relationships, declining share of mix

FACILITIES & CAPACITY

A modernized, semi-automated foundry — with real headroom

7,000 MT/yr

Installed capacity (valve-era rating)

100-130 T/mo

Realistic melting throughput at current mix

60-85%

Reported inconsistently across company materials, 2024-25

15-23%

Headroom to grow without further capex

PROCESS INFRASTRUCTURE

- ALFA-SET no-bake moulding system
- Medium-frequency induction melting furnaces, up to 10-ton
- Auto-controlled heat treatment: water & air quenching
- Fettling & shot-blasting lines
- Pattern & methoding shop

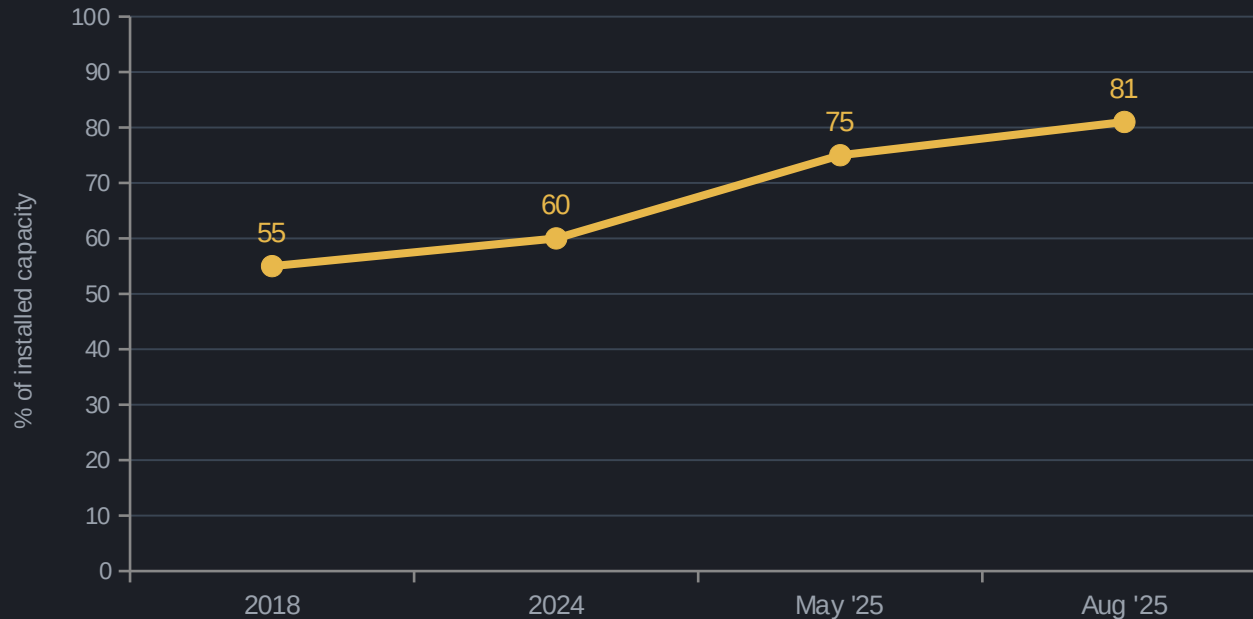
QUALITY & TESTING LAB

- 14-element spectrometer
- Brinell / Rockwell / digital hardness testers
- Ultrasonic & radiography (RT) testing
- Magnetic particle crack detection
- Microstructure analysis, 50x-1500x
- Full sand-testing lab (new & process sand)

Caveat: this infrastructure has not prevented rejection rates from climbing to 10%+ in the most recent quarter — see slide 19.

THE MOAT, RESTATED

Built on a 1990s plant — the moat is getting more out of it every year



Same 7,000 MT/yr installed rating throughout — no expansion, no new plant. Figures are approximate and drawn from company materials of varying dates and methodology; read the shape, not the decimal.

3.1x

Revenue growth, FY21 to FY25-26 — on the same installed capacity

+7%

Realization per MT, FY23-24 to FY25-26 — more value from the same tonnage

15%

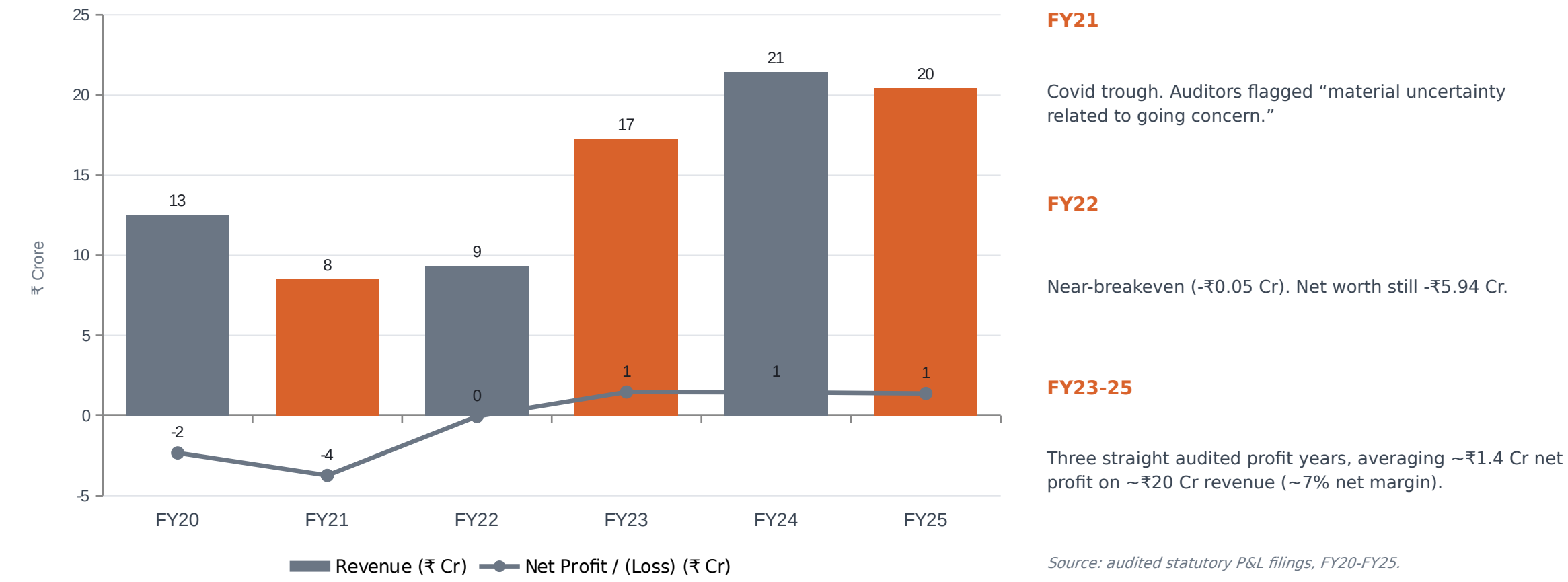
Fixed costs as % of turnover, FY26 (proj.) — a 5-year low, down from 25.7% in FY22

100%

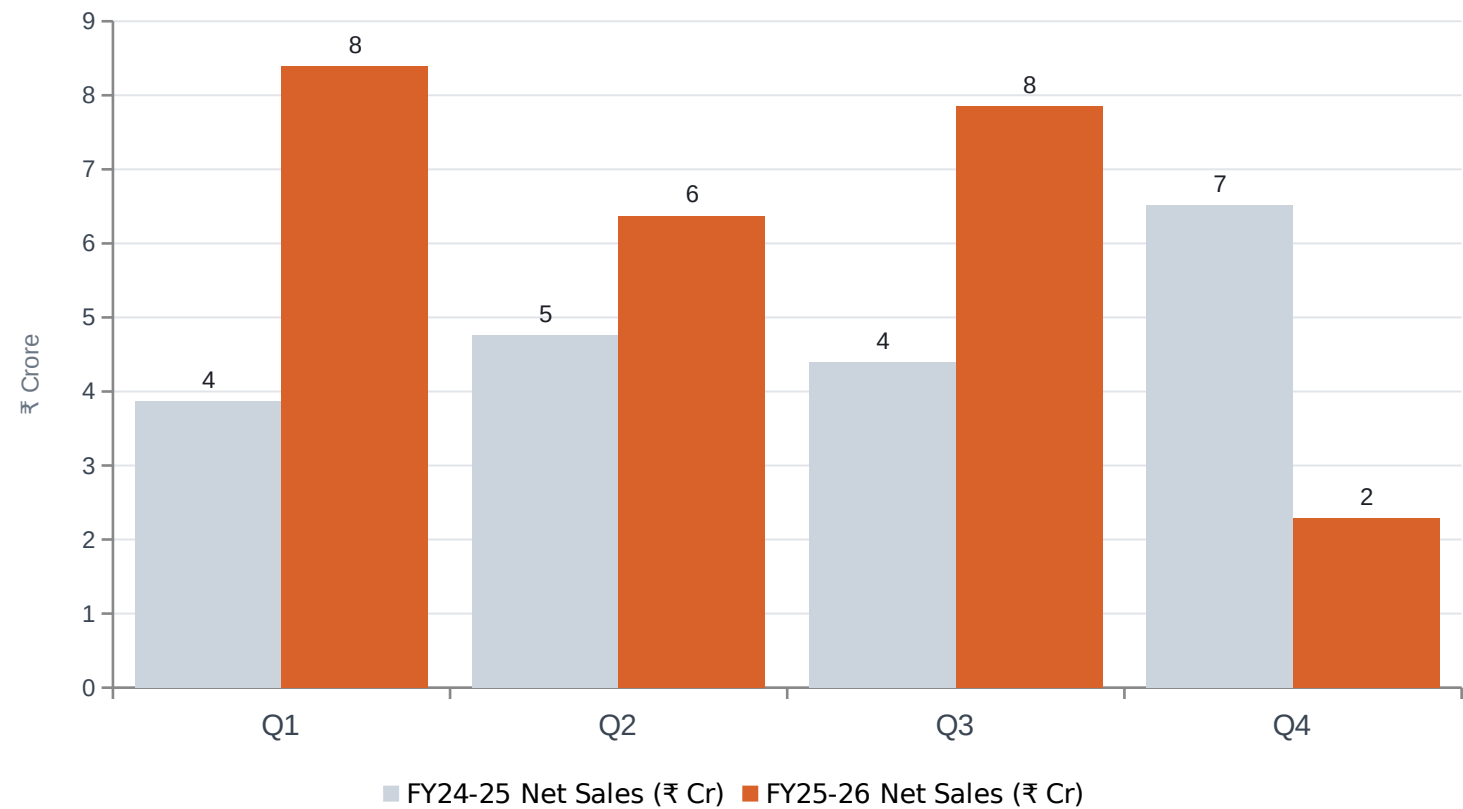
In-house maintenance of 1990s-vintage imported European machinery — no OEM dependency

Why this is harder to copy than it looks: a well-funded competitor can order new furnaces tomorrow. What it cannot buy is 25+ years of knowing exactly how these specific, aging machines fail. "Low capex" doesn't mean zero — FY26 carries a planned ₹85.66L program (capacity + technology upgrades) — but it's modest, targeted spend, not a new factory.

Six audited years: from going-concern risk to profit



FY25-26 closed as a record year — quarter by quarter



₹25.9 Cr

FY25-26 revenue (turnover statement) — a record, +26% YoY, with a record ₹1.82 Cr profit alongside it

BUT NOTE THE SHAPE

Q4 FY25-26 collapsed to ₹2.29 Cr — less than a third of Q3, and well below Q4 FY24-25's ₹6.51 Cr. The record full-year number masks a weak close, which carries into FY26-27 (next slide).

Quarterly chart: management MIS (net sales, ex-GST). Headline figure: year-end turnover statement, ₹1 Cr higher than the MIS quarterly sum — a minor, unreconciled gap typical of interim vs. final cuts.

The most recent quarter reverses the FY25-26 story

-42%

Q1 FY26-27 net sales vs Q1 FY25-26

₹4.84 Cr vs ₹8.39 Cr

10.1%

In-house rejection rate, YTD FY26-27

Worst of any period on record

-53%

PBT (mgmt. accounts), 4 months YTD vs prior year

₹0.53 Cr vs ₹1.13 Cr



One counter-signal: July 2026 alone grew +11% YoY (₹2.76 Cr vs ₹2.48 Cr) — an early, unconfirmed sign that the Q1 air-pocket may be easing. One month is not a trend.

WHAT TO ASK MANAGEMENT

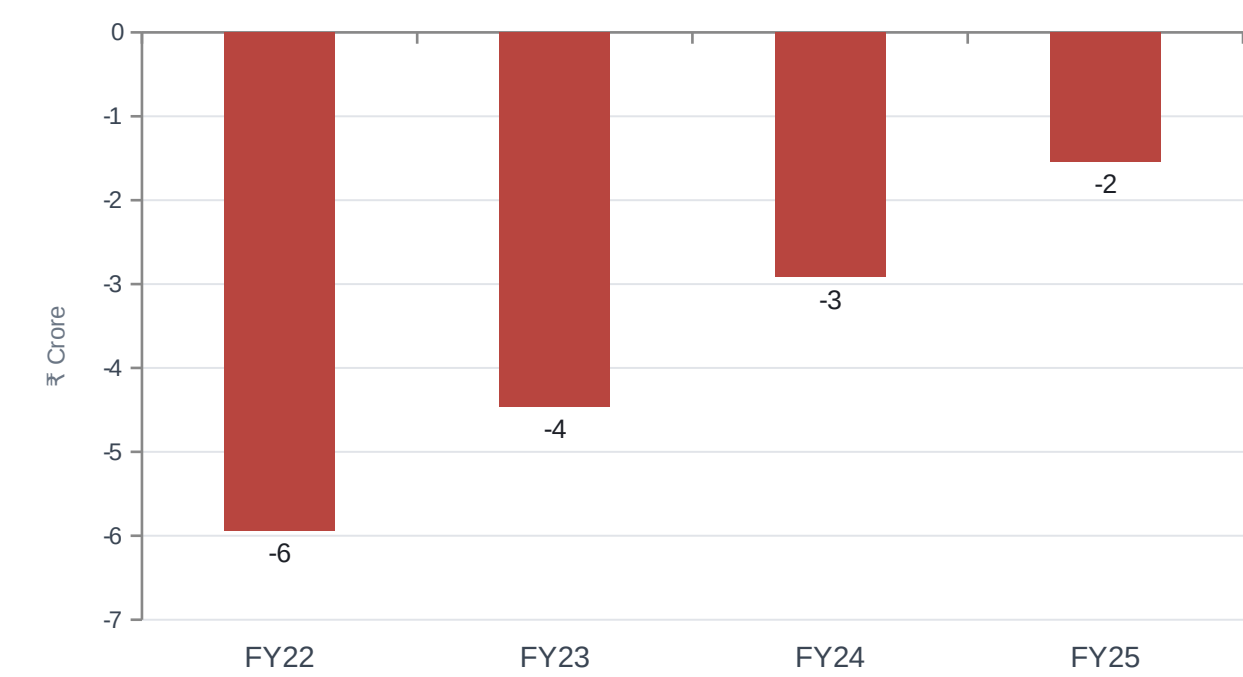
- Is the Q1 FY26-27 decline customer-driven (Tega/Escorts order timing) or a broader demand problem?
- What is driving the rejection-rate climb to 10%+, and what specifically is being done to reverse it?
- Is April 2026's loss-making month (-₹0.11 Cr PBT) a one-off or the start of a pattern?

Datre has closed a bigger gap than this before — with the same toolkit

	FY20 → FY21 (the real precedent)	FY25-26 Q1 → FY26-27 Q1 (today)
Revenue shock	₹12.51 Cr → ₹8.49 Cr (-32%)	₹8.39 Cr → ₹4.84 Cr (-42%)
Compounded by	Covid, going-concern audit note	Rejection rate at 10.1%, worst on record
What closed it	In-house localization, no fresh capex, incremental utilization gains, deeper OEM qualification (Tega)	Same toolkit is available — not yet evidenced as applied to this episode
Time to recover	~2 years to first audited profit (FY23); ~4 years to record revenue (FY25-26)	Unknown — this is the honest gap in the data

What this is, and isn't: this is evidence about how management responds to a shock, not a forecast that today's hurdle resolves on the same timeline. Slides 14-17 still stand — concentration, the balance sheet and the quality trend are live risks, not settled ones.

Net worth is negative, but closing fast — not yet at zero



Liabilities have exceeded assets every audited year (FY22-25) — but the gap has narrowed every year, from -₹5.94 Cr to -₹1.54 Cr. At the FY24-25 pace, FY26 crosses to positive — FY26-27's slower start (slide 12) puts that timeline at risk, though slide 13 shows a bigger gap closed before. See slide 17 for the trend.

Source: audited balance sheets, FY22-FY25.

GOVERNANCE FLAGS

Recurring audit qualification

Auditors have repeatedly qualified their opinion for non-ascertainment of employee benefit liability via actuarial valuation (Ind AS 19) — a fixable gap, open across multiple years.

Negative net worth, narrowing

-₹1.54 Cr as of FY25, down from -₹5.94 Cr in FY22. Genuine progress, but still a priority for any capital structure discussion.

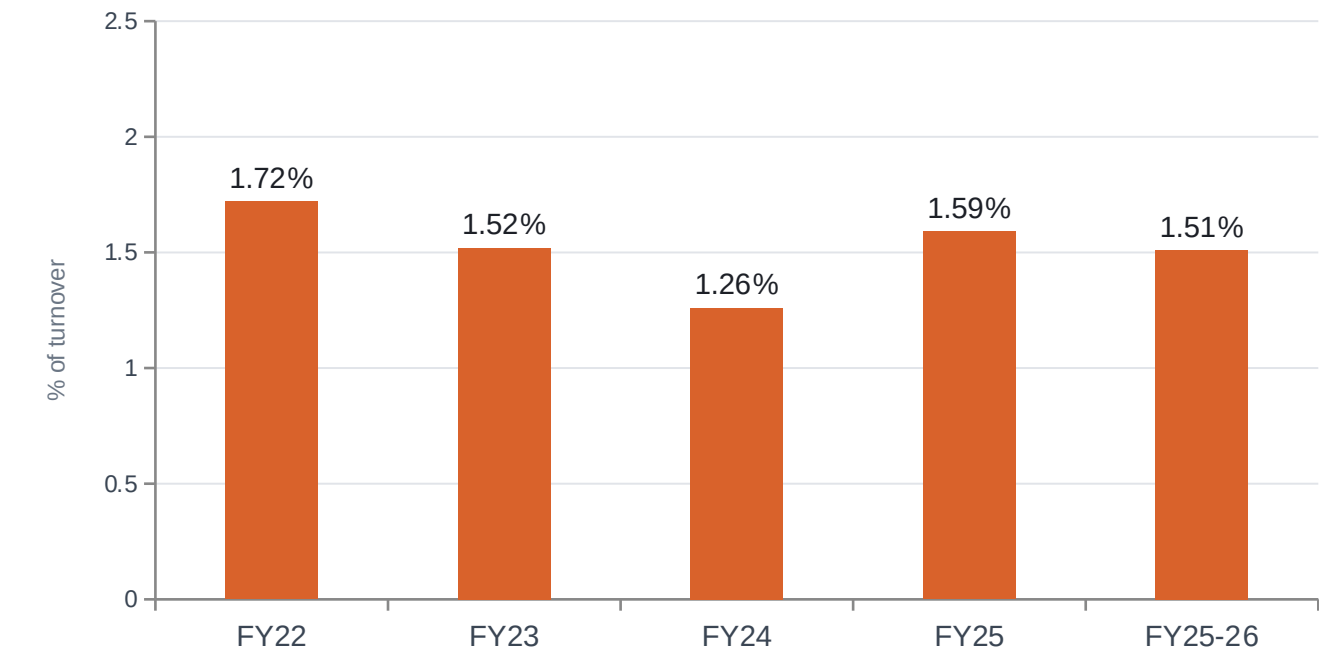
Ownership & related-party funding

99.88% held by Sarvagah Engineering Pvt Ltd. A flat ₹12.90 Cr unsecured, 0%-interest convertible debenture is unchanged for 2+ years — confirm counterparty and conversion terms.

Historical restructuring reference

One internal document references “post-NCLT” status. A decade-long turnover statement shows a ₹51.47 Cr exceptional gain in FY2018-19 against an operating loss that year — likely this event, not formally confirmed. Confirm mechanism and terms before external circulation.

CEO compensation has tracked turnover for five years — FY26-27 is the test



Five straight years in a 1.26%-1.72% band — compensation scaled with the business, not ahead of it. Source: internal CTC records vs. audited/turnover-statement revenue.

1.18x

CEO CTC vs. CFO CTC, FY26-27 — a narrow premium, consistent across all 5 years

61.5%

CEO's CTC relative to the combined CTC of the other 28 listed staff (ex-CFO), FY26-27

24%/yr

CEO CTC 5-year CAGR — faster than most operating roles (6-17%/yr), in line with the CFO (21%/yr)

FY26-27, untested: CTC was set 29% higher than FY25-26 — but Q1 revenue is down 42% YoY (slide 12). At last year's turnover (₹25.9 Cr) the ratio becomes 1.95%; at the pace Q1 implies (~₹20.5 Cr) it becomes 2.47%. Either way, this is the first year in five the pattern may not hold.

Why turnover is the right anchor — and what compensation should be

1 No statutory cap applies

Datre is a private limited company. The Companies Act's profit-linked remuneration caps (Section 197) bind public companies, not this one — there's no legal reason profit has to be the reference point.

2 Turnover is the stable base

Datre ran losses or near-breakeven for most of FY16-FY22. A profit-linked formula would have paid the CEO almost nothing through the exact years he was engineering the turnaround, and only rewarded him after the fact.

3 It resists being gamed

Profit is sensitive to expense timing and provisioning — the same Ind AS 19 gap and FY26 capex-as-abnormal-expense treatment flagged on slide 14. Turnover is harder to manipulate and cleaner to benchmark against.

RECOMMENDATION

Anchor CEO CTC to 1.5%-1.7% of trailing-twelve-month audited turnover — the band Datre's own 5-year record already supports. Revise annually at Board level off the prior full audited year, not projections; any increase beyond the band should require Board justification, as FY26-27's now does.

This framework is grounded in Datre's own history, not a verified external benchmark. Recommend a formal SME/foundry-sector compensation study before treating it as permanent.

Four numbers that show this is a multi-year rebuild, not one good year

~25%

Revenue CAGR, FY21 trough to FY25-26

₹8.5 Cr → ₹25.9 Cr over 5 years

₹4.4 Cr

Net worth recovered, FY22 to FY25

-₹5.94 Cr → -₹1.54 Cr, narrower every year

+45%

Tega contribution/kg, FY22-23 to FY25-26

~₹40/kg → ~₹59/kg average

8+ yrs

Tenure of several anchor accounts

BEML, Escort, Tega, Tata Metaliks tracked since FY17-18

BALANCE SHEET: ON PACE TO CROSS ZERO

Net worth has improved in every audited year since FY22 — not a one-off recovery. At the FY24-25 pace (~₹1.4 Cr/yr), the company crosses into positive net worth around FY26. That is a real, trackable milestone: the moment Datre stops being balance-sheet-insolvent on paper, four years after the Covid-era trough.

NOT JUST A GOOD YEAR — A REBUILT CUSTOMER BASE

Internal contribution records track named OEM accounts — BEML, Escort, Tega, Bhushan/Tata Steel, IISCO, Metco, Neo Metaliks, Paharpur, Tata Metaliks — back to FY2017-18. The current profitability isn't built on a handful of one-off wins; it sits on relationships that have held, and in Tega's case deepened, across an 8-year span that includes the FY21 near-failure.

Read alongside the balance-sheet, concentration and quality-control slides that follow: the progress is real and multi-year, but customer concentration, the quality trend and the FY26-27 slowdown are real too. Both things are true at once.

Source: audited balance sheets FY22-FY25; internal contribution-tracking records, FY2017-18 through FY2025-26; Aug 2025 order-book analysis (Tega ₹/kg).
DATRE CORPORATION LIMITED | CONFIDENTIAL — PREPARED FOR INVESTOR DISCUSSION

Two customers now drive roughly 80% of contribution

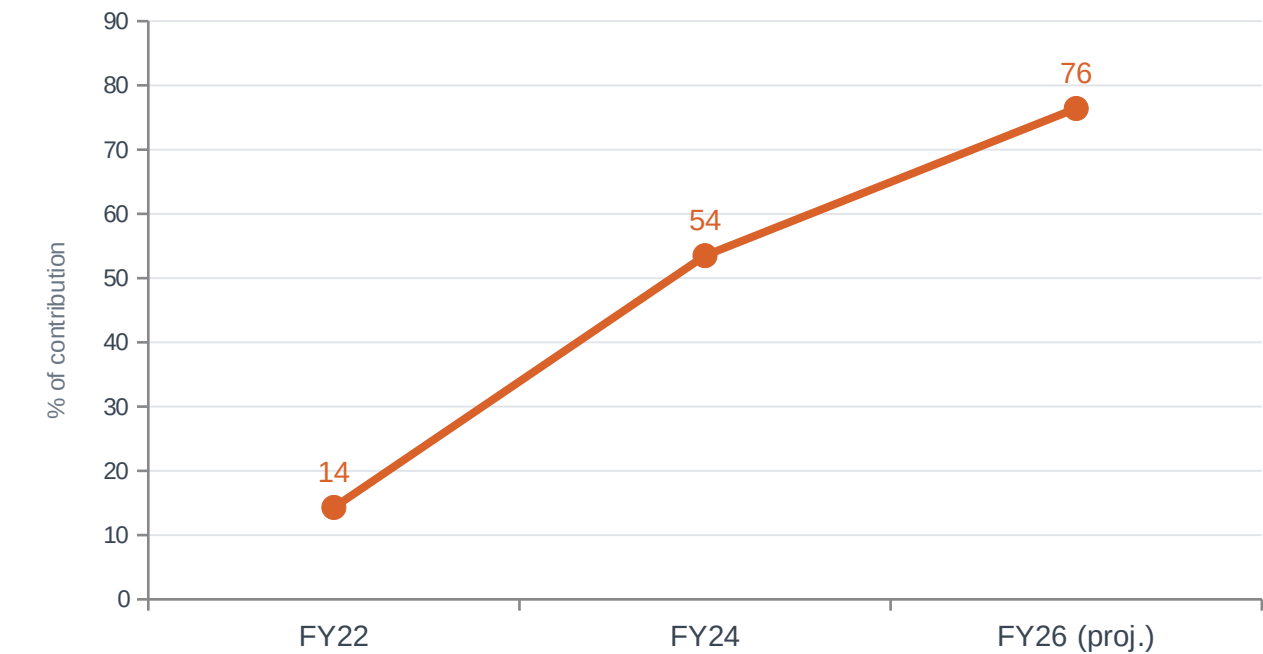


Chart: Tega's individual share (company financial statements & internal analysis, FY21-FY24 actuals, FY26 projection). "All OEM" figure in the panel at right uses a separate Net Contribution basis — see source note below.

43% → 82%

OEM share of total contribution, FY22 to FY26 (proj.) — a deliberate pivot, not passive drift

₹0

Non-OEM legacy contribution by FY25 — IISCO, Bhushan Steel, Tata Metaliks, ESL and Metso wound down to zero, on purpose

₹9.0 → ₹7.5 Cr

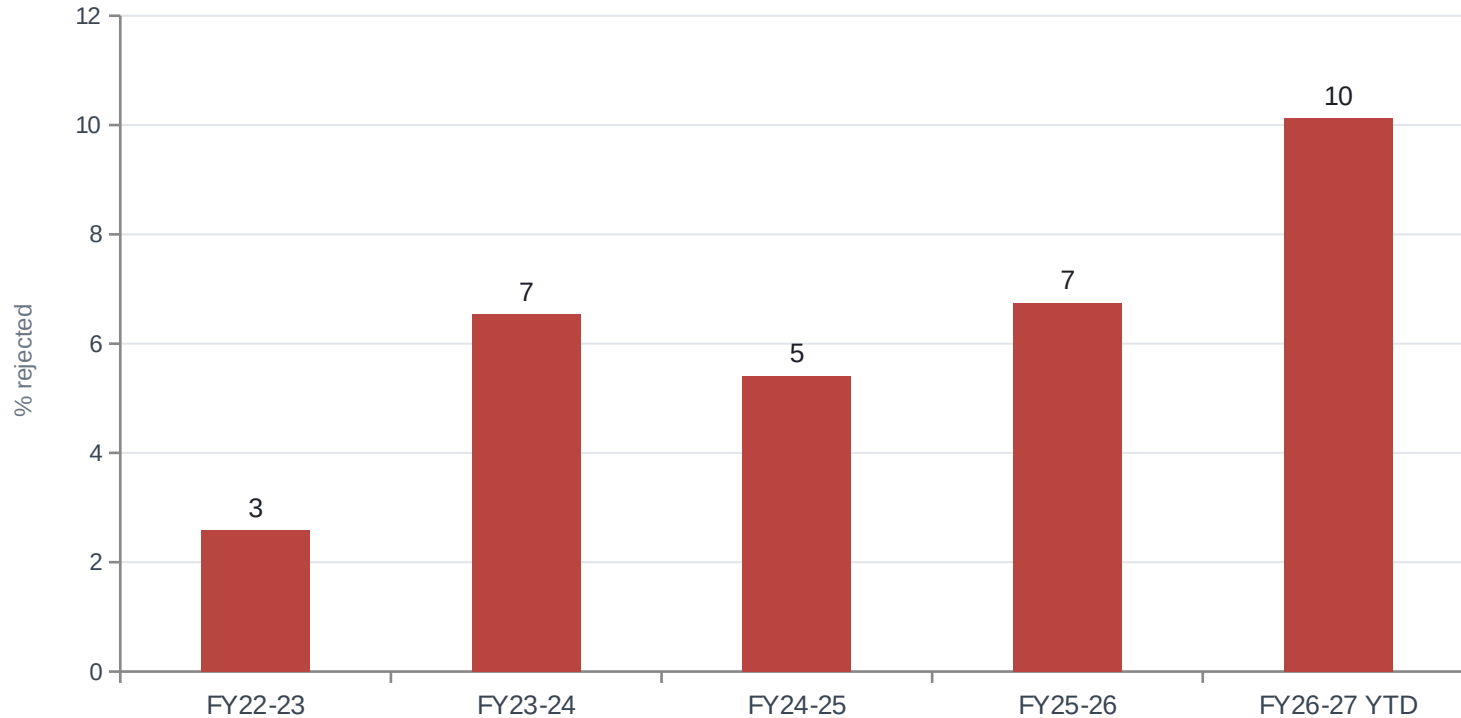
Tega's small-casting orders still declined YoY, FY23-24 to FY24-25

Thejo Engineering

NDA/exclusive tie-up alongside Tega — the real second leg, still small next to Tega/Escorts

Panel figures: internal "Net Contribution" analysis (FY22 vs. FY26 projected) — a different basis from the Tega-share chart at left; both point the same direction.

Rejection rate has trended the wrong way for four periods



Source: management MIS, production & rejection registers, FY22-23 through FY26-27 (4 months).

ALSO RISING

Fixed costs as % of net sales

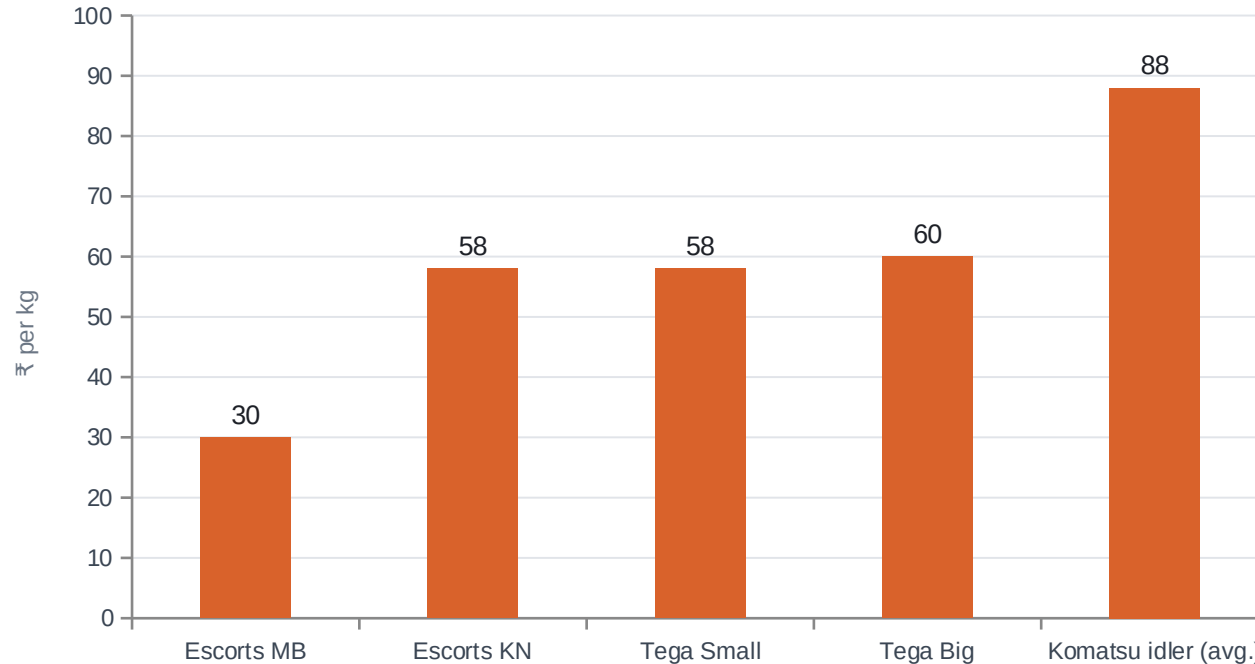
16.06% → 17.09%

FY23-24 to FY24-25 — rose even in the year sales dipped.

This is not a one-off spike — it is the same quality-control theme recurring across three fiscal years despite a well-equipped testing lab (slide 8). It belongs on the same diligence list as the customer-concentration risk.

MARGIN UPSIDE

Where the margin actually comes from: mix and pricing discipline



Komatsu idler contribution (₹68-114/kg across 4 part numbers, ~₹88/kg average) sits well above the domestic product mix — the clearest evidence that global qualification, not domestic volume, is where the next margin step comes from.

PRICING POWER IN ACTION

The Sona Comstar knuckle-casting repricing

Legacy pricing compensated raw-material escalation only, leaving overhead and profit on a fracture-critical, safety-rated casting effectively unpriced.

Datre proposed a criticality-based cost-to-serve model instead: a ₹206/kg floor and a ₹225/kg target, itemizing the ₹19/kg gap as labor, repeated inspection, engineering control and yield provision — not raw material.

Status: under negotiation, not yet settled. Included here as evidence of commercial discipline, not as booked revenue.

GROWTH PIPELINE

Global qualification is real — and not yet fully de-risked

Partner	Geography · Sector	Status	Diligence note
Komatsu	<i>Himi Plant, Japan · via Uchimura</i>	5 idler part numbers, 3 under RFQ. Best ₹/kg in the portfolio (₹68-114) — but tiny in absolute terms: ₹1.03L (FY25) → ₹5.23L proj. (FY26), vs. Tega's ₹359L.	Open first-article nonconformity (Mar 2026, part 17M3053110). Quality must close first — and stays sub-scale even resolved.
Thejo Engineering	<i>India · mining wear parts</i>	NDA/exclusive tie-up alongside Tega. Live, growing account since FY22-23; order volumes rising into FY26-27.	Small next to Tega/Escorts — the clearest active diversification story today.
Henseley Industries	<i>USA · construction, HEMM</i>	Export tie-up under NDA; initial trial in progress. First contribution projected FY25: ₹0.81L — a start, not yet a business.	Earlier sample batches failed on impact properties; corrective re-heat-treatment applied. Not yet a qualified supply line.
Knorr-Bremse	<i>Germany · railway components</i>	Agreement in progress, per company materials.	Early-stage; no order or trial data available to independently size this.
Strato	<i>USA · railway components</i>	Agreement in progress, per company materials.	Early-stage; no order or trial data available to independently size this.

“Diligence note” column reflects gaps and open items found during review, not management's own characterization of these relationships.

COMPETITIVE POSITION

Scale and margin, against named Indian foundry peers

Company	Revenue (₹ Cr)	EBIT margin	Net margin	Note
Datre Corporation	8.5	-0.3%	-0.3%	FY21 — Covid-era trough
Big Castings Pvt Ltd	22.0	10%	8%	Similar scale, best-in-class margin
Aqua Alloys Pvt Ltd	54.3	3%	7%	Larger scale, strong margin
Fortune Foundries	18.7	6%	1%	Similar scale, thin margin
Prragathi Steel Castings	35.2	12%	0%	Larger scale, weak conversion
Precon Technology & Castings	19.4	-11%	-60%	Going-concern-level loss, FY20
Peer set median	28.8	7%	1%	16-company benchmark set

Datre sits well below peer-median scale (~₹29 Cr) but is not unusually thin-margined for the sector — the whole Indian MSME foundry set clustered near breakeven in FY19-21. Peers like Big Castings and Aqua Alloys show 7-8% net margins are achievable at Datre's own scale, a credible benchmark for its own margin upside.

Source: EMIS/Habiliss statutory filings compiled by Datre management, FY19-21 (most recent third-party peer data available).

MARKET CONTEXT

Why the mining-liner franchise matters — and its limits

~3 MTPA

Global high-chrome mill internals (HCMI) consumption

85-90%

Of HCMI demand is replacement, not new capacity — structurally steady

~1.5 MTPA

Conversion opportunity from forged media to HCMI (3x the cement segment)

~90%

Combined share held by the two global HCMI leaders (AIA Engineering, Magotteaux)

HOW DATRE ACTUALLY SITS IN THIS MARKET

- Datre is not a branded participant in the ~3 MTPA global HCMI market — it is a qualified casting sub-supplier to Tega, which itself competes against AIA Engineering and Magotteaux.
- The replacement-driven, non-cyclical demand pattern is a genuine tailwind for Tega's own volumes — and, through the Tega relationship, for Datre's order flow. It does not, by itself, diversify Datre's customer concentration.
- High entry barriers cut both ways: they protect Datre's niche position as a qualified supplier, but also cap how much of the value chain's economics a sub-tier caster can capture.

The Indian foundry sector is splitting into two tiers — Datre sits in the smaller one

~1,700 / 4,500-5,000

Internationally accredited units, of the industry total — Datre's RDSO 'A' status sits inside this ~35% tier

+7.9%

Finished steel consumption growth, Apr-Jul FY27 (56 MT) — a genuine demand tailwind

~25%

Melt-fuel cost rise at cupola/iron foundries since the coke-quota cuts (~USD 360→480/t delivered)

8-12/qtr

Micro-foundries shutting each quarter since mid-2025 — concentrated in the unaccredited, cupola-based tier

HOW DATRE ACTUALLY SITS IN THIS LANDSCAPE

- Datre's induction-route, steel-casting model sits outside the coke-crisis cluster hitting cupola/iron foundries — but carries its own exposure to grid tariffs, scrap quality and alloy pricing, with no tonnage cushion to absorb a bad month.
- Accreditation, not tonnage, is becoming the sector's real pricing power — Datre's RDSO 'A' / ISO 9001:2015 / ZED Gold status already places it in the ~1,700-unit tier competing on qualification rather than price.
- Two trade shocks now compound the compliance layer: CBAM's 50-tonne/year de-minimis gives 'no real relief' to most Indian exporters (EEPC India, Aug 2025), and a fresh US tariff stack — 25% reciprocal + 25% punitive atop an existing 50% Section 232 steel duty — took effect 27 Aug 2025. Datre's own direct or Tega-mediated US exposure is unconfirmed in the materials reviewed.

Unit counts, coke pricing and consumption growth are from an external industry briefing, unverified against Drive. The CBAM and US-tariff figures are sourced to an EEPC India Panel 20/21 export-council agenda (18 Aug 2025) found in Drive.

RDSO's fresh-registration window is the priority claim for the coming year

1 What's opening

RDSO has opened fresh registration for cast-steel side frames, bolsters, centre pivot assemblies and CASNUB bogies — a vendor base it had kept tight for years. Simplex's May 2026 approval is already guiding to ~₹50 Cr this year and over ₹100 Cr next.

2 Why it fits Datre

Approval-gated demand is the one segment where a small foundry quotes a price rather than accepts one — the same logic behind Datre's existing RDSO 'A' position on AAR M-201 couplers and knuckles. Whether that qualification scope extends to these bogie components, or needs its own registration cycle, is unconfirmed and should be the first thing checked with the works team.

3 The trade-off

Railway approvals eat prototype cost and management time, and Railways buys in lumps and pays slowly. This cannot become the leg the business stands on — pursued carelessly, it would sharpen, not solve, the Tega/Escorts concentration risk already on the SWOT (slide 26).

RECOMMENDATION

Treat the fresh-registration window as this year's priority claim, sized and resourced deliberately — not as a substitute for customer diversification.

RDSO registration status and Simplex's guidance are from an external industry briefing, unverified against Drive. Confirm actual scope-match to Datre's qualifications before committing prototype spend.

SWOT: the honest scorecard

STRENGTHS

- Utilization ~55%→~81% (2018-2025) on the same aging plant
- Defensible heat-treatment IP moat
- Tier-1 OEM integration incl. Komatsu-qualified
- Operationally debt-free; ISO 9001:2015 / RDSO 'A' / ZED Gold

WEAKNESSES

- Negative net worth (-₹1.54 Cr, FY25)
- ~80% of contribution from 2 customers
- Rejection rate at 10.1%, worst on record
- Recurring auditor qualification; sub-scale vs. peer median

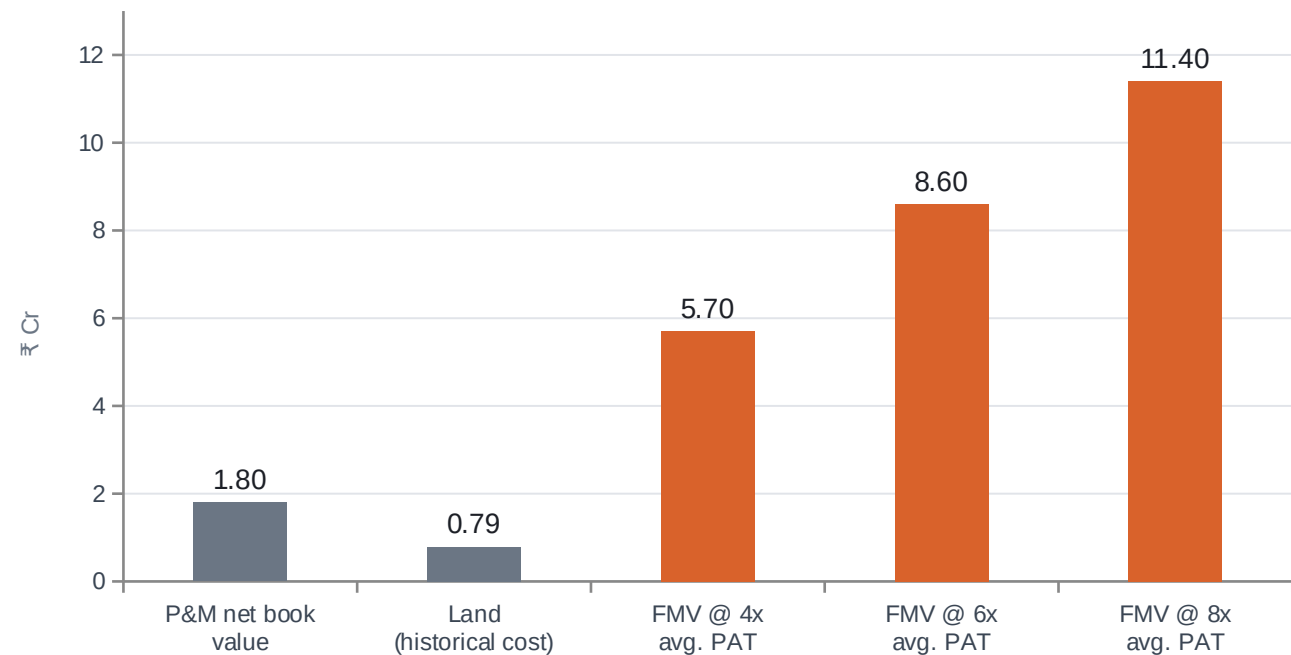
OPPORTUNITIES

- Komatsu global qualification (pending quality closure)
- Thejo Engineering diversification, actively growing
- RDSO fresh-registration window for cast-steel bogie parts — approval-gated demand (slide 25)
- Margin upside toward peer best-in-class (7-8% net)

THREATS

- Tega/Escorts concentration; Tega small-order decline
- Q1 FY26-27 demand air-pocket, cause unconfirmed
- Carbon-intensity entering OEM audits — Indian foundries ~1.8-2.2 tCO₂/t vs. CBAM's 1.5t line (slide 24)
- Open Komatsu first-article nonconformity

Two ways to price this business — and they disagree by 3-10x



Grey bars: today's book value of the hard assets (internal depreciation register, FY23-24 close). Orange bars: illustrative income-basis value, capitalizing the 3-year average audited PAT (₹1.43 Cr, FY23-25) at a range of multiples — no verified comparable transaction exists for Indian niche-foundry M&A; treat as sensitivity, not appraisal.

Even the lightest capitalized-earnings estimate (4x PAT ≈ ₹5.7 Cr) is more than 3x the combined book value of every fixed asset on the balance sheet. A pure NAV view can't explain three years of real cash profit — the model, not the business, is the thing that's wrong here.

~90%

Of Plant & Machinery's ~₹17.6 Cr original cost has already been depreciated — book value is now ~₹1.8 Cr

-₹1.54 Cr

FY25 audited net worth — a literal net-asset-value approach prices the whole enterprise at zero or below

3 yrs

Straight years of real audited profit (FY23-25) this same balance sheet has been earning

Why it's still hard to sell — and why that isn't a flaw

1 Liquidation value: a generic buyer's logic

A machinery dealer or plot buyer can only underwrite what they can verify and reuse immediately — the hardware. They have no way to price 25-30 years of heat-treatment process history, RDSO/OEM qualifications, or a customer book earned through years of trial batches and audits.

2 Fair market value: what the business earns standalone

Even on light, illustrative multiples, capitalized earnings already clear 3x+ the entire fixed-asset book (slide 27). This is the value a rational financial buyer, with no synergy, would underwrite.

3 Strategic value: what it's worth to the right buyer

An OEM wanting captive supply, or a foundry group wanting instant access to Datre's Tier-1 relationships, avoids the same multi-year, uncertain-utilization qualification cost any new entrant faces. That's the ceiling few generic buyers can pay — and only a narrow buyer set can underwrite it.

RECOMMENDATION

Negotiate on earnings capacity plus a named strategic premium, not on net-asset value of 30-year-old machinery. A thin pool of qualified buyers is a sale-process problem, solved with a targeted and patient process — not a reason to discount enterprise value to book.

This framework uses Datre's own audited and internal records for the asset and earnings figures; the FMV multiples and the existence/identity of a strategic buyer are illustrative and unverified. Recommend a formal valuation (registered valuer / IBBI standards) before using this for negotiation.

INVESTMENT CONSIDERATIONS

A framework for the ask — terms to be finalized with management

The materials reviewed do not specify a funding quantum, instrument, valuation or use-of-proceeds. What follows is a suggested framework, derived from the financial and operational analysis in this deck — not a management-approved ask.

1 Balance-sheet repair

Equity infusion or a structured plan to accelerate net worth from -₹1.54 Cr (FY25) to positive, rather than relying solely on ~₹1.4 Cr/yr retained earnings.

2 Working-capital bridge

Support the Tega/Escorts receivable cycle at the ₹25-30 Cr revenue range Datre has now demonstrated it can reach.

3 Quality-systems investment

Targeted spend to bring the rejection rate back toward its FY22-23 low (~2.6%) — scrap-cost savings alone should fund a meaningful share of this.

Any of the three should be sized against audited FY25 and FY25-26 management accounts, not the figures in this deck alone — and against resolution of the governance flags on slide 14.

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PREPARED FOR

Investor discussion — Indranil Dutta, Chief Executive Officer

This document consolidates the company's own financial statements, management information system reports and internal analyses. Figures are sourced and dated throughout; where audited and unaudited data diverge, both are shown. Confidential — prepared for internal investor discussion only.